16 Companies Approved Under Electronics Schemes, No Sign of Chinese Industries

The approved companies under the mobile phone (domestic) category segment have proposed production of about 1,250 billion rupees, whereas those in the multinational segment have proposed production of over 9,000 billion rupees

Mukul Yudhveer Singh

India-headquartered Lava International, Bhagvati (Micromax), Padget Electronics, UTL Neolyncs, and Optiemus Electronics have got the Ministry of Electronics and Information Technology's (MeitY) nod for the production linked incentive (PLI) scheme for mobile phones manufacture in India. International mobile companies approved under the same scheme include Samsung, Foxconn Hon Hai, Rising Star, Wistron, and Pegatron. Similarly, AT&S, Ascent Circuits, Visicon, Walsin, Sahasra, and Neolync have been approved under the Scheme for Promotion of Manufacturing of Electronic Components and Semiconductors (SPECS).

The PLI scheme encompassing manufacture of mobile phones in India extends an incentive of four to six per cent on incremental sales (over a base year) of goods under target segments that are manufactured in India to eligible companies for a period of five years subsequent to the base year (FY2019-20).

SPECS, on the other hand, will provide a financial incentive of 25 per cent on capital expenditure for the identified list of electronic goods, including electronic components, semiconductor/display fabrication units, ATMP units, specialised sub-assemblies, and capital goods for the manufacture of the aforesaid goods, all of which involve high value-added manufacturing.

"Out of the total production, the approved companies under mobile phone (invoice value 15,000 rupees and above) segment have proposed production of over 9,000 billion rupees. The approved companies under mobile phone (domestic companies) segment have proposed production of about 1,250 billion rupees, and those under specified electronic components segment have proposed production of over 150 billion rupees," points out MeiTY.

The catch is promoting exports

MeitY expects that all the approved companies will promote exports of mobile phones built in India. As a matter of fact, around sixty per cent of 1.05 million rupees worth of items to be produced in the country during the next five years are expected to be exported. The companies approved under the scheme are also expected to generate more than 200,000 employment opportunities during the next five years.

"We are optimistic and looking forward to building a strong ecosystem across the value chain and integrating with the global value chains, thereby strengthening the electronics manufacturing ecosystem in the country," says Ravi Shankar Prasad, union minister for electronics & IT, communications, and law and justice.

The companies approved under the scheme, as per MeitY, will bring additional investment in electronics manufacturing to the tune of 110 billion rupees. It is to be noted here that the PLI scheme extends an incentive of four to six per cent on incremental sales (over a base year) of goods manufactured in India and covered under the target segments to eligible companies for a period of five years subsequent to the base year.

"The PLI Scheme is a path-breaking policy initiative of the Ministry of Electronics & IT with a vision to launch the electronics industry in India into a higher orbit. The